

become apparent. The fun part becomes designing a lifestyle that maximizes fulfillment and satisfaction while matching it to strategies that allow you to do it while paying less tax.

The topics already discussed may have your head spinning if you're new to the idea of tax planning and the opportunities available to those who *Choose FI*. If so, that's OK. Spend some time on this section and digest it. This gives you the key information you need to get started. Understanding that you can control your taxes and that it is as simple as contributing money to tax-advantaged retirement and health savings accounts is enough to allow you to start developing an actionable strategy today that can save you thousands of dollars a year on taxes.

In Chapter 5, we introduced the Pareto Principle, the 80/20 analysis, and applied it to developing a high savings rate. This same principle can be applied to tax planning. The strategies already outlined provide the 20 percent of actions that will give you 80 percent of results to minimize income taxes.

Many in the FI community have built on these basic tax strategies to further lower their tax burdens while working. They then can eliminate income taxes in retirement. This is masters-level tax planning. Don't worry if everything doesn't make sense yet. You can